



Time: 5 minutes

Outcome: Compare Monopoly Welfare, Efficiency & Competitive Comparison.

Difficulty: ●●● Advanced

Monopoly Welfare, Efficiency & Competitive Comparison



THE CORE IDEA

A single-price monopoly restricts output and raises price relative to competition. Some consumer surplus transfers to the seller; that transfer stays in total surplus. Deadweight loss is the gain lost on units whose buyer value exceeds marginal cost but that the monopoly does not produce.



HOW TO RECOGNIZE IT

- Find monopoly quantity where marginal revenue (MR) crosses marginal cost (MC).
- Compare it with the efficient quantity where demand meets MC.
- Separate a surplus transfer from the loss on unproduced trades.

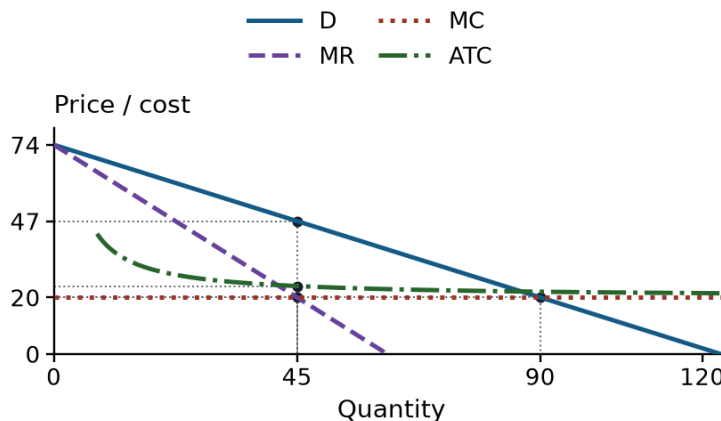


WATCH OUT

A single-price monopolist restricts quantity and raises price relative to the competitive benchmark. Lost trades create deadweight loss; the transfer from consumers to the firm is not itself deadweight loss.



WORKED EXAMPLE: MONOPOLY AND EFFICIENT OUTPUT



The unregulated monopoly chooses about 45 units where $MR = MC$ and charges the demand price of about \$47. The efficient outcome occurs where demand meets MC: 90 units at \$20. Monopoly therefore restricts output and raises price, leaving mutually beneficial units between 45 and 90 unproduced.



CHECK YOURSELF

Which part of lost consumer surplus is deadweight loss?

**READY?**

Return to the game and master this concept.